

Fearnleys Dry Bulk Market Outlook

May 29, 2026



SUMMARY AND OUTLOOK

In our previous update sent in early April, we wrote:

*A black swan event has occurred, which changes the market outlook for the worse. **Fundamentals are still likely to remain positive through the second quarter, as there is always a lag before higher energy costs start to impact dry bulk markets. However, the risk of a weaker second half of this year than last year has increased substantially.** This eventual weakness is likely to last through the first half of 2027 as well. The upward price moves in crude oil and refined products are such that historical correlations clearly suggest dry bulk markets will be negatively impacted. In this report, under the macro-economic section, we always include a chart displaying the year-on-year change of crude oil prices with a 1-year lead on the year-on-year change of the BDI. Since our previous report in late February, this chart has changed quite dramatically.

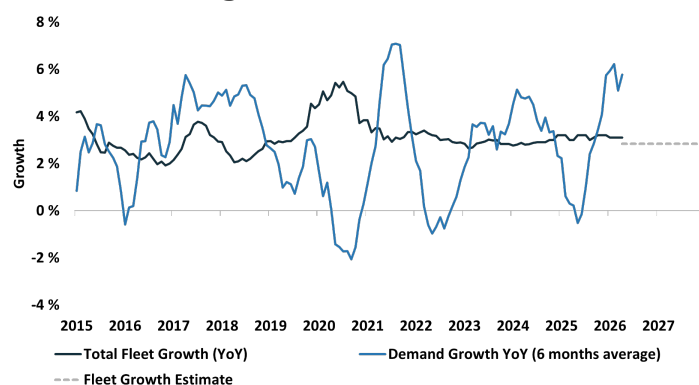
What if the Strait of Hormuz opens up fully? The outlook will be relatively brighter. However, damages to energy infrastructure in the Middle East, along with lingering uncertainty, likely mean energy prices will not quickly fall back to pre-war levels. It is also important to remember that the outlook is not all dependent on the Hormuz situation. Other factors, such as coincident economic indices, average cycle durations, falling global credit growth, weakening momentum of industrial metals prices and high iron ore inventories in China, all suggest that fundamentals are close to peaking.*

No major changes to the outlook since early April. Demand growth remains above supply growth, but has fallen during the last few months. Global credit growth rates keep falling, primarily due to lower loan growth in China. Iron ore inventories in China have been drawn down but remain high. However, industrial metals prices have rebounded sharply since late March, reflecting that global industrial activity is not in a downturn just yet. However, the surging oil prices are starting to have its usual bearish impact, with cost increases and eroding margins being reported, not only due to direct energy cost increases, but also because freight rates are higher, due to bunker prices. The brewing El Nino could, along with the lower supply of fertilisers, pose a problem for grain crops over the next year. So, we still have the view that a market downturn is likely to begin in Q3, and that 2027 earnings averages will be lower than this year. Increasing coal demand should cushion some of the weakness likely to come from other commodity groups. However, seaborne supply remains an issue. Otherwise, the soon-to-be-announced Guinean Bauxite export curbs will be important for the outlook going forward.

Earnings Forecasts 26 and 27

Year	BCI5TC	BPI5TC	BSI11TC	BHSI 7TC
2026	25–30 USD pd	13–16 USD pd	13–16 USD pd	11–14 USD pd
2027	20–25 USD pd	12–15 USD pd	12–15 USD pd	10–13 USD pd

Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)





Fleet Statistics (In Million DWT)

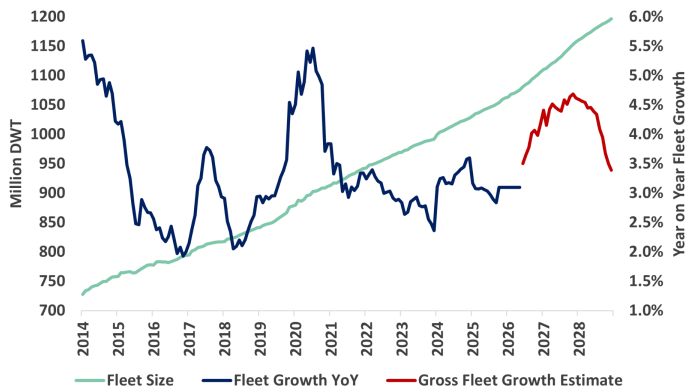
	Total Fleet	CapeNewc	Pmx/Kmx	Smx/Hmx	Handy
2025					
Deliveries	36	7.2	9.9	13.1	5.8
Scrapping	3.7	1	1.3	0.1	1.1
Fleet Growth	3.0%	1.9%	3.3%	5.2%	4.1%
2026 YTD					
Deliveries	16.5	2.6	6.1	5.5	2.3
Remaining on Schedule	30	8.7	9.8	8.4	3.3
Scrapping	0.5	0.3	0.2	0.1	0.5
YoY Fleet Growth (May)	3.0%	1.7%	3.6%	5.7%	3.1%





Fleet Growth and Forward Estimates (ex Scrapping and Delivery Delays or Cancellations)

Total Fleet Growth Including Estimate



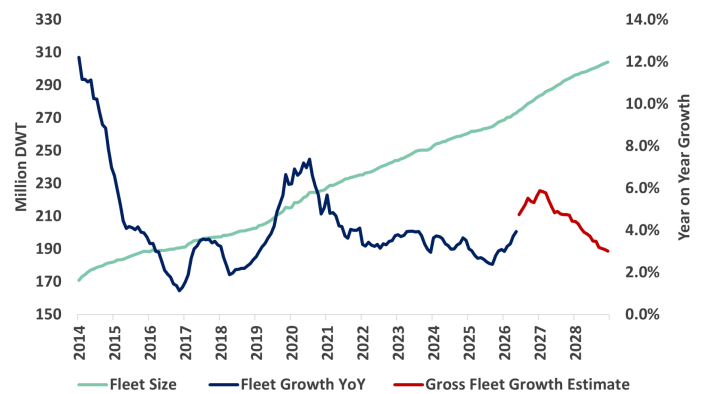
Cape/Newc Fleet Growth Including Estimate



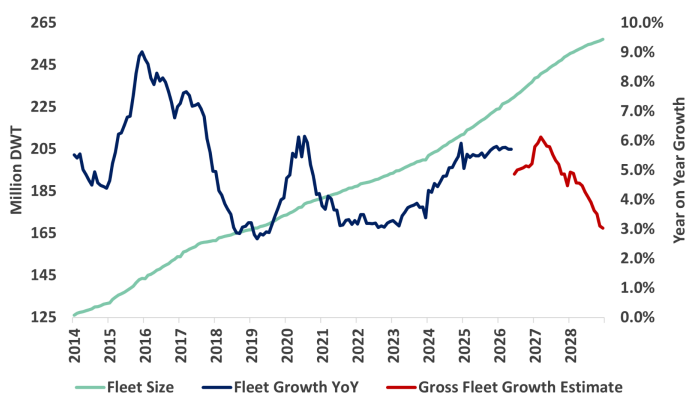
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



PERIOD RATES AND ASSET VALUES

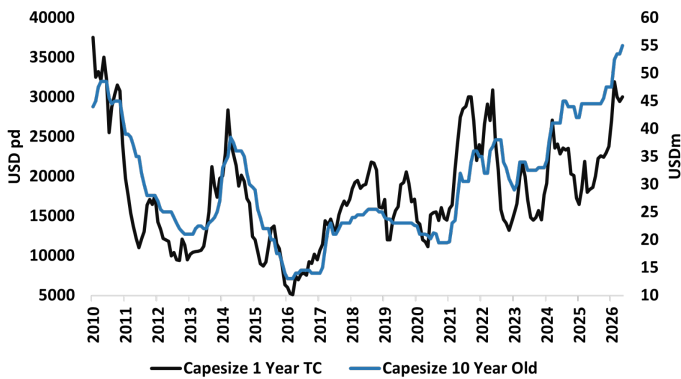
In our previous report in early April, we wrote

"Capesize and Newcastlemax values have continued climbing over the last few months, with our assessments now the highest since 2008. Values have increased by 50% since 2021, despite annual average earnings being lower each year since then. Values for Kamsarmaxes down to Handysizes have climbed to similar or slightly higher levels than the peak reached in 2024, depending on vintage.

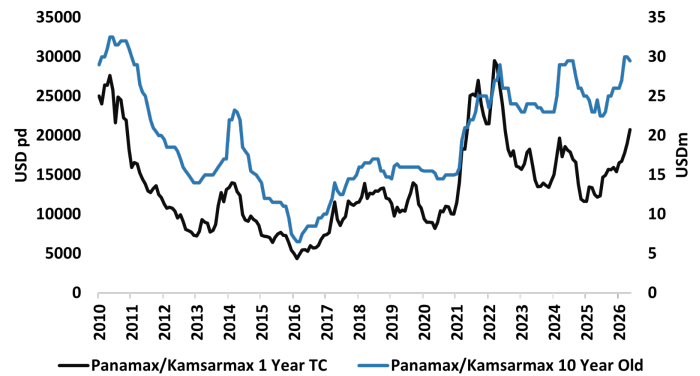
In the last six months, our market view has been that all these values would go a bit higher than the 2024 peak this year. However, the Iran war makes this less certain, so most likely values will plateau here."

Values have generally ticked up a bit further since our previous report. Some vintages we assess a bit higher in value than the 2024 peak. We think further upside from here is highly limited, with sideways movement most likely over the next 2-3 months.

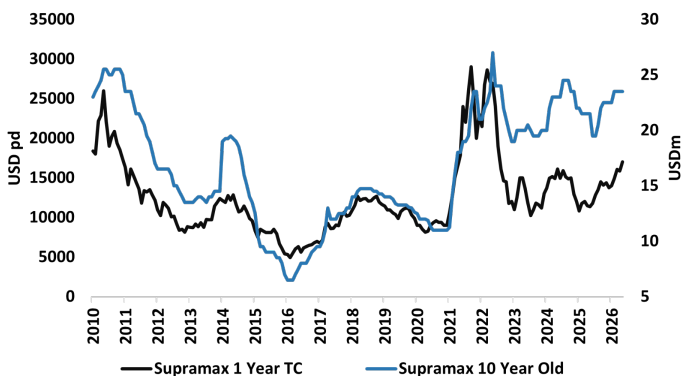
Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)



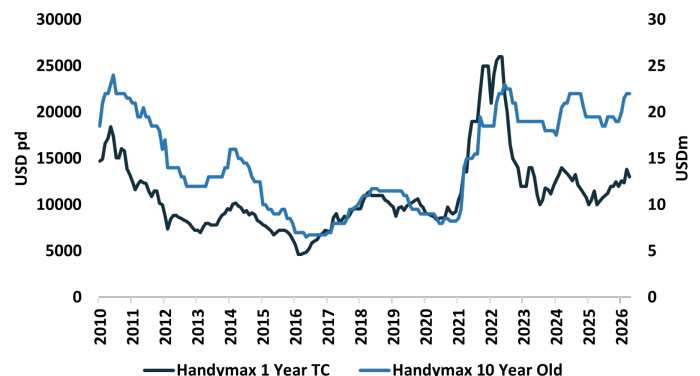
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old (Japanese)



Supramax 1 Year TC vs Supramax 10 Year Old (Japanese)



Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)



Asset Values vs Commodity Prices

The outlook given in our previous report in early April still applies, as the momentum of industrial metals has continued to falter

*"The faltering momentum in industrial metals prices suggest the peak in asset values is near.

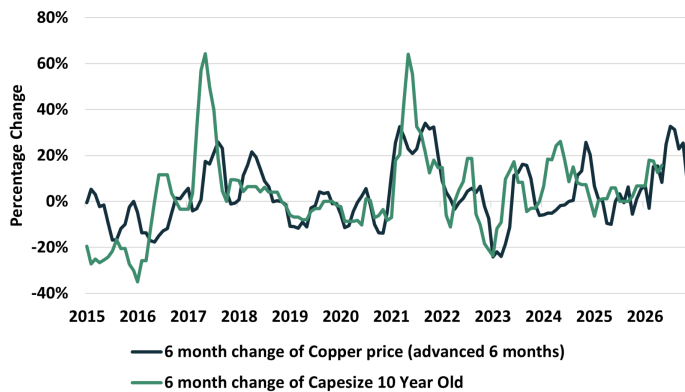
The below charts shows the preceding 6 months change in the price of copper, with a 6 months lead of the preceding 6 months change of asset values.

This displays that asset value momentum usually lags the prices of copper (and other industrial metals).

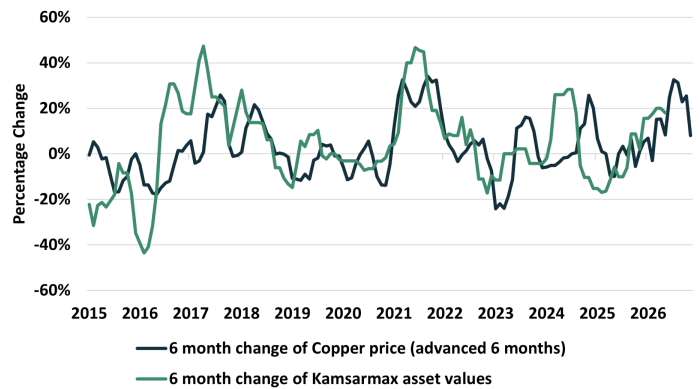
These charts now indicate a peak in values could be seen around the middle of this year (**May-July** is most likely based on historical correlations)."

The charts below still suggest the peak in values will likely be between this month and July.

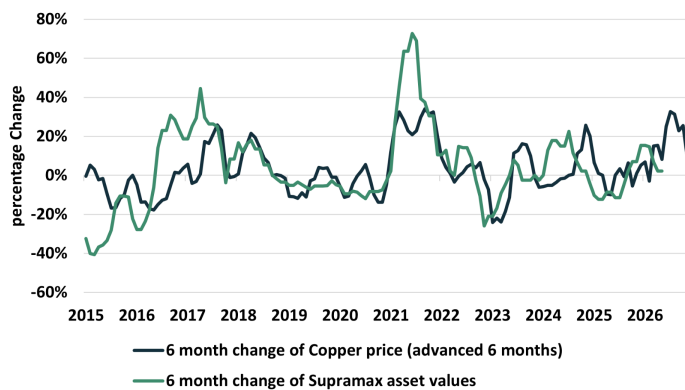
Copper Price 6 Months Change (Lead 6 Months) vs Capesize 10 Year Old



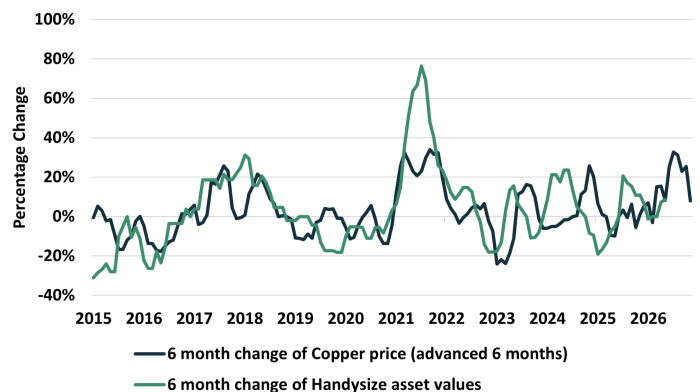
Copper Price 6 Months Change (Lead 6 Months) vs Kamsarmax 10 Year Old



Copper Price vs Supramax 10 Year Old

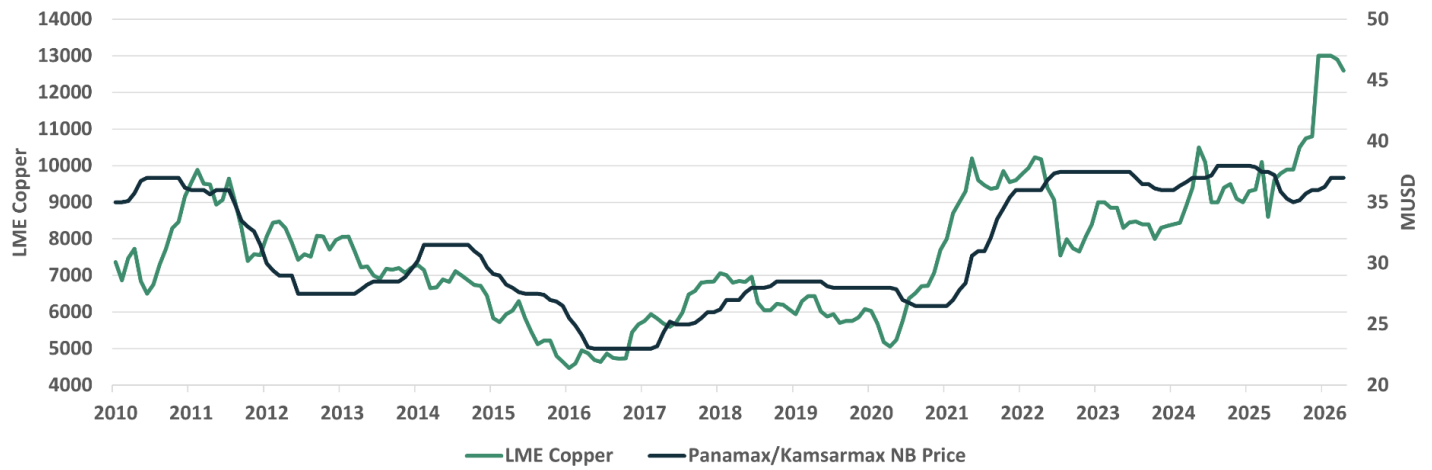


Copper Price vs Handysize 10 Year Old





LME Copper Price vs Panamax/Kamsarmax NB Price



S&P Global, FRED, Fearnleys



TRADE FLOWS YEAR ON YEAR GROWTH

	Iron Ore	Coal	Grains	Others	Total
Jan-25	-4%	-3%	-5%	11%	0.3%
Feb-25	-6%	-12%	-10%	8%	-4.2%
Mar-25	1%	-6%	-4%	14%	2.6%
Apr-25	1%	-6%	-6%	8%	1.0%
May-25	4%	-12%	1%	9%	0.6%
Jun-25	1%	-10%	-2%	7%	-0.9%
Jul-25	4%	2%	7%	12%	6.3%
Aug-25	5%	-2%	10%	5%	4.4%
Sep-25	4%	0%	20%	8%	5.1%
Oct-25	14%	-3%	-1%	3%	4.6%
Nov-25	6%	-3%	9%	8%	4.5%
Dec-25	12%	3%	21%	11%	9.2%
Jan-26	11%	-1%	13%	8%	7.4%
Feb-26	9%	-2%	8%	8%	6%
Mar-26	-8%	-4%	13%	-2%	-2%
Apr-26	7%	5%	16%	4%	8%

	100 - 220 KDWT	25 - 100 KDWT		Far East	India + MEG	Southeast Asia
Jan-25	-2%	2%	Jan-25	-8%	13%	12%
Feb-25	-7%	-2%	Feb-25	-10%	0%	9%
Mar-25	-2%	5%	Mar-25	-7%	-1%	10%
Apr-25	0%	0%	Apr-25	-1%	5%	5%
May-25	1%	0%	May-25	-2%	4%	3%
Jun-25	-2%	0%	Jun-25	-1%	6%	6%
Jul-25	3%	8%	Jul-25	-1%	9%	-3%
Aug-25	-1%	6%	Aug-25	4%	10%	1%
Sep-25	4%	7%	Sep-25	8%	19%	0%
Oct-25	14%	0%	Oct-25	0%	6%	6%
Nov-25	0%	7%	Nov-25	3%	15%	0%
Dec-25	12%	7%	Dec-25	6%	4%	6%
Jan-26	11%	7%	Jan-26	10%	2%	9%
Feb-26	10%	4%	Feb-26	6%	12%	4%
Mar-26	-3%	-1%	Mar-26	6%	-10%	9%
Apr-26	11%	7%	Apr-26	-4%	-16%	14%



MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tell us. Overall, an increasingly bearish picture is being painted from the second half of this year and through the first part of 2027.

Top left chart:

The BDI year-on-year change has moved into positive territory in the last months. As usual, lagging behind credit growth in China.

The credit growth rate has continued to fall over the last months, and has now turned negative, giving a clear bearish indication for late this year and the start of 2027.

Top right chart:

Except for a decoupling in 2024, the change in bond yields in China and the US has been a good leading indicator for dry bulk demand growth. Strong support for demand growth this year is suggested, but also a potential peak. Demand growth seems to have peaked according to what was suggested by this leading indicator.

Middle left chart:

Lower crude oil prices are bullish for economic growth, and vice versa. The chart displays that since 2017, there has been a tight correlation between lower year-on-year oil prices and a higher year-on-year BDI, with the oil price change leading by 1 year.

Cheaper oil prices suggest the BDI could remain positive year-on-year throughout all of 2026. However, the increase in oil prices since late February suggest the market will be lower next year.

Middle right chart:

The OECD diffusion index momentum is stalling, still suggesting weakening momentum for dry bulk markets from June onwards.

Bottom left chart:

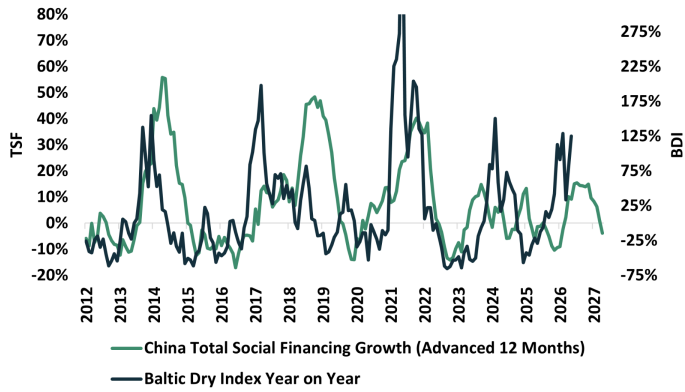
The OECD diffusion index correlation with the BDI is very high, as usual. The OECD index reading is comparable to previous cycle peaks.

Bottom right chart:

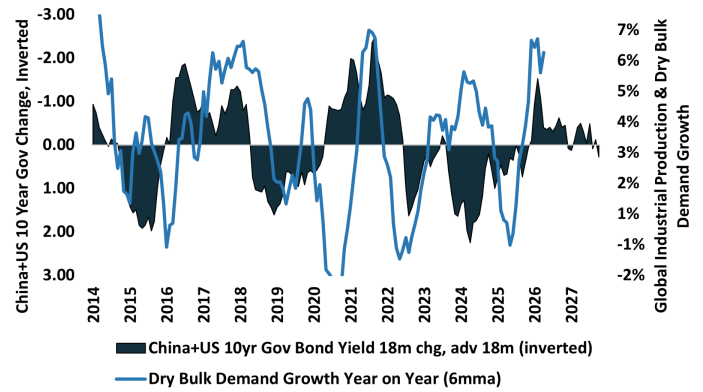
The weakening dollar momentum has stalled in the last few months, along with what seems to be peak volume growth rate. High correlation as usual.



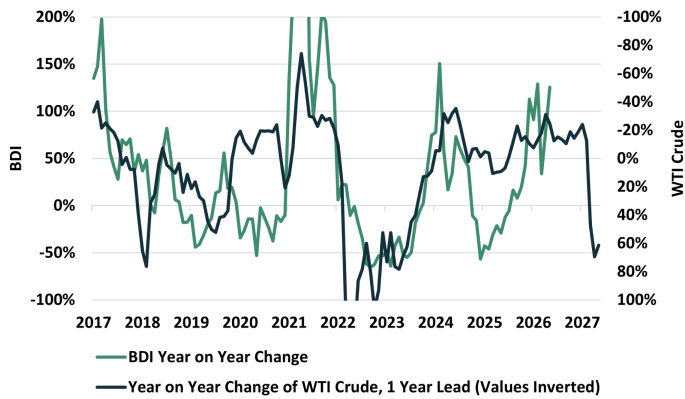
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



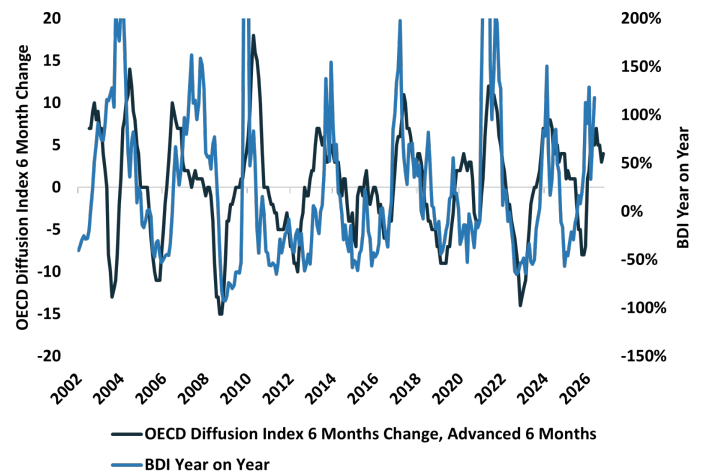
China + US Gov Bond Yield Change, 18 Months Lead. vs Dry Bulk Demand Growth



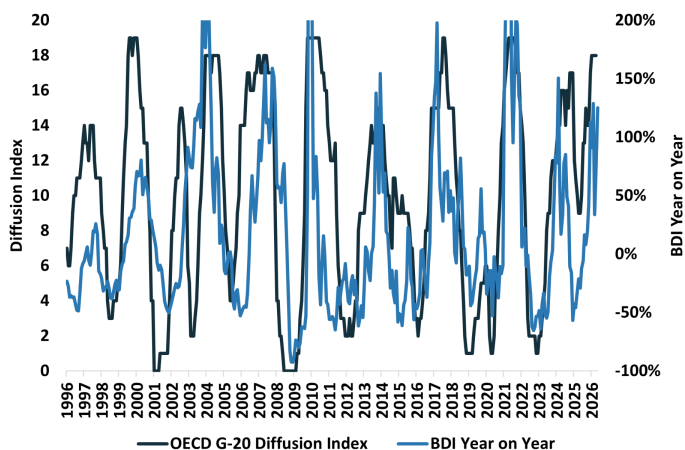
WTI Crude Oil Price YoY, 1 Year Lead vs BDI YoY



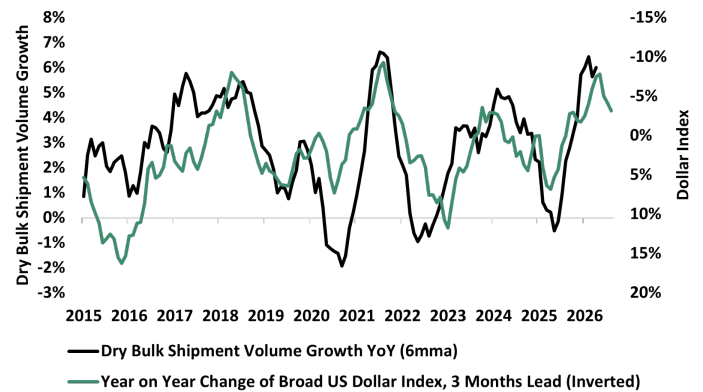
OECD Diffusion Index 6 Months Change vs BDI YoY



OECD G-20 Diffusion Index vs BDI YoY



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth





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